

Preference, Choice and Demand

Advanced Microeconomics 1: Economic Decision Making. Lecture 1

Luke Heath Milsom

The questions of this block

1. Who did the 2022 price shock (inflation) hurt, and by how much?
2. Is automatic wage indexation an effective policy for mitigating these impacts?

- These sound like statistics questions but they are not “hurt” is a value judgment that we need to make precise.

Our plan for the next 4 lectures.

1. **Formalise** what we observe: prices, budgets, demand. today
2. **Describe**: whose prices rose, whose budgets are exposed. today
3. **Define the ideal answer**: “as well off as before,” in euros. L2
4. **Connect it to data**: when does observed demand determine that answer? L3–L4
5. **Test** the key assumption: that choices reveal a stable “better off.” today → practical
6. **Audit**: if the assumptions are wrong, which way is our answer wrong? L4

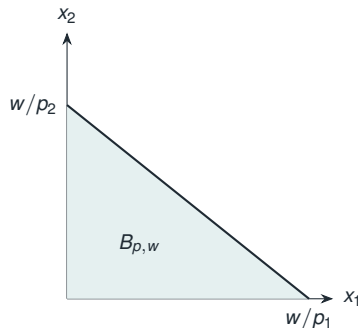
Formalise: demands, prices, wealth

Formalising

- To answer this question (and others like it) we...
 - want to be precise, we need ϵ values.
 - want to be transparent, what exact assumptions do we need (and what happens when they fail).
- To achieve these goals we need to get formal!

- L commodities, described by a consumption set $X = \mathbb{R}_+^L$.
- L prices $p \in \mathbb{R}_{++}^L$.
- **Walrasian budget set**, $p \gg 0$, $w > 0$:

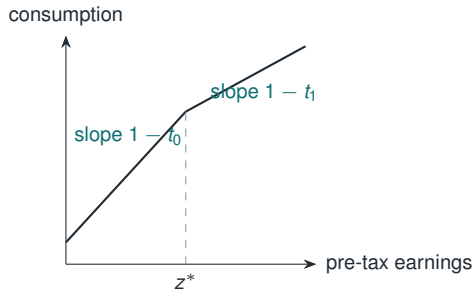
$$B_{p,w} = \{x \in \mathbb{R}_+^L : p \cdot x \leq w\}.$$



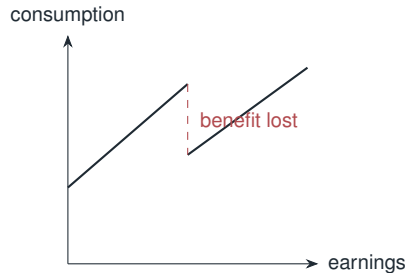
Real budget sets are not hyperplanes (straight)

formalise

Kink (e.g. progressive tax)



Notch (benefit cliff)



Walrasian demand and two accounting laws

Definition · Walrasian (Marshallian) demand

$x(p, w) \subseteq B_{p,w}$: the chosen bundle(s) at each price–wealth pair.

Two assumptions:

1. **Homogeneity of degree zero:** $x(\alpha p, \alpha w) = x(p, w)$ — only relative prices and real wealth matter; “no money illusion.”
2. **Walras’ law:** $p \cdot x(p, w) = w \rightarrow$ you spend everything.

The four formal objects

- Consumption set: $X \in \mathbb{R}_+^L$.
- Prices: $p \in \mathbb{R}_{++}^L$.
- Budget set: $B_{p,w} = \{x \in X : p \cdot x \leq w\}$.
- Demand: $x(p, w) \subseteq B_{p,w}$.

Enough to state the events of 2022 precisely. Not yet enough to say who was hurt and by how much.

What can we already learn: commodities

Describing commodities

Comparative statics: how does behaviour change when the economic parameters change?

How x_l varies with p_k and w tells us about the properties of commodity l .

Changing wealth — some definitions

Keep p constant at $\bar{p}$, vary w , then ...

- $x(\bar{p}, w)$ is the Engel curve
- $E_{\bar{p}} = \{x(\bar{p}, w) : w > 0\}$ is the wealth expansion path
- $\frac{\partial x_I(p, w)}{\partial w}$ is the wealth effect for commodity I
- $\epsilon_{Iw}(p, w) = \frac{\partial x_I(p, w)}{\partial w} \frac{w}{x_I(p, w)}$ is the elasticity of demand w.r.t. wealth.
- $b_I(p, w) = \frac{p_I x_I(p, w)}{w}$ is the budget share of I .

Changing wealth — categorising commodities

A commodity l is a ...

- normal commodity if $\frac{\partial x_l(p, w)}{\partial w} \geq 0$
- inferior commodity if $\frac{\partial x_l(p, w)}{\partial w} < 0$
- luxury commodity if $\epsilon_{lw}(p, w) \geq 1$, budget share increases in wealth
- necessity commodity if $\epsilon_{lw}(p, w) < 1$, budget share decreases in wealth

Engel (1857): food's share falls with wealth — robust across countries and centuries ($\sim 50\%$ in poor countries, $\sim 15\%$ in rich ones). Within Belgian quartiles, home energy does the falling ($10\% \rightarrow 6\%$) and restaurants the rising ($5\% \rightarrow 10\%$).

Changing prices — some definitions

- $\frac{\delta x_l(p, w)}{\delta p_k}$ is the price effect of p_k on commodity l .
- $\epsilon_{lk}(p, w) = \frac{\delta x_l(p, w)}{\delta p_k} \frac{p_k}{x_l(p, w)}$ is the elasticity of demand for l with respect to p_k .
 - ϵ_{ll} = own price elasticity
 - ϵ_{lk} = cross price elasticity

Changing prices — categorising commodities

- Demand for l is elastic if $\epsilon_{ll}(p, w) \leq -1$.
- Demand for l is inelastic if $-1 < \epsilon_{ll}(p, w) \leq 0$.
- Demand for l is a Giffen good if $\epsilon_{ll}(p, w) > 0$.

Home energy in the short run: about as inelastic as demand gets — you cannot quickly stop heating. Inelastic + large budget share $\Rightarrow$ a price shock is going to hurt.

First payoff: your own personal inflation rate

Let household h have budget shares b_l^h . For small price changes, the inflation *that household faces* is

$$\pi^h = \sum_{l=1}^L b_l^h \pi_l \quad (\text{share-weighted price growth}).$$

- Different $b^h \Rightarrow$ different π^h .
- The official index does this with *aggregate expenditure* weights — so each euro, not each household, gets one vote. A rich household's basket counts more.

The load-bearing assumption

Why we now need an assumption

“Worse off” — by whose standard?

- The compensation question is about *welfare*: each household's own ranking of situations. We can't observe this, we only see the choices you make.
- Everything rests on these choices giving us useful information. One key assumption **rationality**.

Lets get formal

What, exactly, do we mean by you prefer X ? What are preferences?

Preferences

Definition · preference relation

$\succsim$ is a binary relation on X ; $x \succsim y$ reads “ x is at least as good as y .”

- x is better than y : $x \succ y \Leftrightarrow x \succsim y$ and not $y \succsim x$.
- x is indifferent to y : $x \sim y \Leftrightarrow x \succsim y$ and $y \succsim x$.

To answer our question, we need each household h 's own ranking, $\succsim_h$.

Rationality

Definition · rationality

The preference relation, $\succsim$, is *rational* if $\forall x, y, z \in X$ it is:

complete: $x \succsim y$ or $y \succsim x$

transitive: $x \succsim y \succsim z \Rightarrow x \succsim z$

Seems reasonable?

Definition · utility representation

$u : X \rightarrow \mathbb{R}$ represents $\succsim$ if $x \succsim y \iff u(x) \geq u(y)$.

Why we want a u ? We need numbers, euros!

Utility representation

Proposition · MWG 1.B.2

If a utility function $u : X \rightarrow \mathbb{R}$ represents $\succsim$, then $\succsim$ is rational.

Proof → p. 35

$\succsim$ inherits the properties of $\geq$ on $\mathbb{R}$ through the representation.

What does rationality look like

What would rationality look like in the data?

Our data: pairs (p^t, x^t) — prices faced, bundle chosen — or an estimated demand function $x(p, w)$.

- Choosing x when y was **affordable** reveals $x \succsim y$. This is the information we get!
- Rationality $\Rightarrow$ no contradictions.

The weak axiom

Definition · WARP for demand functions (MWG 2.F.1)

$x(p, w)$ satisfies WARP if for all pairs (p, w) and (p', w') we have that if:

$$p \cdot x(p', w') \leq w \text{ and } x(p', w') \neq x(p, w)$$

Then

$$p' \cdot x(p, w) > w'.$$

If the bundle chosen at (p', w') was also affordable at (p, w) but was not chosen at (p, w) then $x(p, w)$ is revealed preferred to $x(p', w')$. Then it cannot be that $x(p', w')$ is also revealed preferred to $x(p, w)$ that is when $x(p', w')$ was chosen it must have been that $x(p, w)$ was not affordable i.e. $p' \cdot x(p, w) > w'$.

The compensation problem, first pass

Compensated price changes

A price change does two things: changes relative prices, and changes real wealth.

Definition · (Slutsky) compensated price change

From (p, w) with $x = x(p, w)$, move to p' and set $w' = p' \cdot x$: wealth adjusted so *the old bundle remains exactly affordable*. The adjustment $\Delta w = \Delta p \cdot x(p, w)$ is the Slutsky wealth compensation.

- Pay each household enough that its old basket stays affordable at the new prices. Automatic indexation is a country-sized Slutsky compensation.

What does a compensated household do

Theorem · MWG 2.F.1

Suppose $x(p, w)$ is h.d.0 and satisfies Walras' law. Then x satisfies WARP $\iff$ for every compensated price change,

$$(p' - p) \cdot [x(p', w') - x(p, w)] \leq 0, \quad \text{strict if } x(p', w') \neq x(p, w).$$

Proof $\rightarrow$ p. 36

- A **law of demand**: a compensated household tilts away from what got relatively more expensive ($\Delta p_\ell > 0 \Rightarrow \Delta x_\ell \leq 0$).
- So if you hand a household its Slutsky compensation it will **not** rebuy the old basket — it substitutes.
- A compensated household will buy a new x , and have a new utility.

First policy result of the course

Basket indexation over-compensates

Compensate a household so its old bundle x stays affordable ($w' = p' \cdot x$). If it chooses $x' \neq x$, then it chose x' *while x was affordable*: by revealed preference, the household is at least as well off as before. The true cost of staying as-well-off is lower, because people substitute.

- So automatic indexation is too generous.
- How much over-compensation?

Measuring substitution: the compensated derivative

The over-payment above is exactly what a fixed basket ignores: *substitution*. To quantify it we need the derivative of demand **along a compensated change**.

1. **Why compensated?** The only law we have proved — 2.F.1 — holds along *compensated* changes. If we want to use it, we must move along one.
2. **What the compensation is.** Keep the old bundle x just affordable. At prices $p + dp$ it costs $(p + dp) \cdot x = w + dp \cdot x$, so wealth must move by exactly

$$dw = dp \cdot x.$$

3. **How demand responds.** Prices *and* wealth both moved, so to first order

$$dx = \underbrace{D_p x dp}_{\text{prices moved}} + \underbrace{D_w x dw}_{\text{wealth moved}} = [D_p x + D_w x x^T] dp,$$

substituting $dw = dp \cdot x$ from step 2 into the second term.

The Slutsky matrix

Definition · Slutsky substitution matrix

$$S(p, w) = D_p x(p, w) + D_w x(p, w) x(p, w)^T, \quad s_{\ell k} = \frac{\partial x_\ell}{\partial p_k} + \frac{\partial x_\ell}{\partial w} x_k.$$

- Step 3 now reads $dx = S(p, w) dp$:
- Feed that into the law. 2.F.1 gives $dp \cdot dx \leq 0$; substituting $dx = S dp$,

$$dp^T S(p, w) dp \leq 0 \quad \text{for every price step } dp.$$

- S quantifies substitution; in Lecture 3 we will use it to correct the naive index.

What the Slutsky matrix can tell us

Proposition · MWG 2.F.2–2.F.3

If x is h.d.0, satisfies Walras' law and WARP, then $S(p, w)$ is **negative semidefinite** ($v \cdot Sv \leq 0$) and **singular**: $S p = 0$, $p^T S = 0$.

Proof → p.37

So if demand x satisfies *h.d.0*, Walras, WARP then...

- NSD $\Rightarrow$ naive index (weakly) over compensates any price change.
- Singular $\Rightarrow$ only relative price changes cause issues.

Summary

Takeaways

- **We have formalised the problem.**
- **Categorised commodities.**
- Indexation will overcompensate due to substitution by an amount dictated by S
- Next: Quantify.

Appendix: proofs

Proof: utility representation $\Rightarrow$ rationality (MWG 1.B.2)

Recall: u represents $\succsim$ means $x \succsim y \iff u(x) \geq u(y)$.

- *Completeness.* Take any $x, y \in X$. Then $u(x)$ and $u(y)$ are real numbers, and $\geq$ on $\mathbb{R}$ is complete: $u(x) \geq u(y)$ or $u(y) \geq u(x)$. Reading the representation right-to-left, $x \succsim y$ or $y \succsim x$.
- *Transitivity.* Suppose $x \succsim y$ and $y \succsim z$. By the representation, $u(x) \geq u(y)$ and $u(y) \geq u(z)$; transitivity of $\geq$ on $\mathbb{R}$ gives $u(x) \geq u(z)$; right-to-left again, $x \succsim z$. ■

Proof: WARP $\Rightarrow$ compensated law (MWG 2.F.1, direction (i))

If $x(p', w') = x(p, w)$ the claim is trivial. So take $x' \equiv x(p', w') \neq x \equiv x(p, w)$ and expand:

$$(p' - p) \cdot (x' - x) = p' \cdot (x' - x) - p \cdot (x' - x).$$

- **First term is zero:** $p' \cdot x' = w'$ (Walras) and $p' \cdot x = w'$ (definition of the compensation). So the old bundle is *exactly affordable* at the new situation.
- **Second term is positive:** x affordable at (p', w') but x' chosen there $\Rightarrow$ (WARP) x' was *not* affordable at (p, w) : $p \cdot x' > w = p \cdot x$. Hence $p \cdot (x' - x) > 0$.
- Together: $(p' - p) \cdot (x' - x) = 0 - (\text{positive}) < 0$. ■

Direction (ii), compensated law $\Rightarrow$ WARP, is tedious and not extremely insightful; see MWG.

Proof: WARP $\Rightarrow$ S negative semidefinite (MWG 2.F.2)

Fix (p, w) , take any direction $v \in \mathbb{R}^L$ and a small price step $dp = \varepsilon v$, *compensated*:
 $dw = x(p, w) \cdot dp$.

- Demand is differentiable, so the induced change in demand is, to first order,

$$dx = D_p x dp + D_w x dw = [D_p x + D_w x x^T] dp = S(p, w) dp.$$

- The change is a compensated price change, so the compensated law of demand (Theorem 2.F.1, which used WARP + h.d.0 + Walras) applies:

$$dp \cdot dx \leq 0 \quad \Rightarrow \quad \varepsilon^2 (v \cdot S(p, w) v) \leq 0.$$

- $\varepsilon^2 > 0$ and v was arbitrary: $v \cdot S v \leq 0$ for all v . ■

Proof: $Sp = 0$ and $p^T S = 0$ (from h.d.0 and Walras; MWG 2.E)

Neither part uses WARP — pure accounting.

- **h.d.0:** $x(\alpha p, \alpha w) = x(p, w)$ for all $\alpha > 0$. Differentiate in α at $\alpha = 1$:

$$D_p x p + D_w x w = 0. \quad (\text{E1})$$

- **Walras:** $p \cdot x(p, w) = w$ identically. Differentiate in w , and in p :

$$p^T D_w x = 1, \quad p^T D_p x + x^T = 0. \quad (\text{E2}, \text{E3})$$

- **Right-multiply by p :** $Sp = D_p x p + D_w x (x \cdot p) \stackrel{\text{Walras}}{=} D_p x p + D_w x w \stackrel{(\text{E1})}{=} 0$.

- **Left-multiply by p^T :** $p^T S = p^T D_p x + (p^T D_w x) x^T \stackrel{(\text{E2})}{=} p^T D_p x + x^T \stackrel{(\text{E3})}{=} 0$. ■